BOARD MEETING OF THE CBA

MINUTES (14.06.2022)

On the Refinancing Rate

The CBA Board Meeting of June 14, 2022 attended by CBA Governor M. Galstyan, Deputy Governors N. Yeritsyan and H. Khachatryan, and Board Members A Stepanyan, H. Ghahramanyan, D. Nahapetyan, A. Manukyan and L. Sahakyan

The Board meeting opened with a report of the situation as of June 14. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy. The key topics of discussion were the ongoing Russian-Ukrainian conflict, the various sanctions applied to the Russian economy, and the estimates of the directions, size, and duration of the possible effects on the main partner countries of Armenia, especially on the economy of Armenia, as well as on financial markets.

As noted, in May 2022 0.1% inflation was recorded, as opposed to 0.4% deflation in the same month of the previous year. The month's inflation was mainly contributed by the growth of prices of non-food products and services by 0.6% and 0.8%, respectively, while food prices dropped by 0.6%. A particularly large increase was recorded in the prices of products of "Transport", "Recreation and Culture", "Household Items, Household Appliances and Daily Apartment Care Activities" and "Housing services" subgroups - a total of 4.4%, which, according to estimates, was the result of a significant growth of demand in the services sector. High inflation was also recorded in the prices of "Oils and Fats" and "Tobacco Products" subgroups, 3.4% and 3.0%, respectively. During the month, prices of "Vegetables", "Fruit" and "Dairy products, cheese and eggs" sub-groups decreased by 5.4%, 0.7% and 2.7%, respectively. ***As a result of these changes, the 12-month inflation grew and reached 9.0% at the end of the month***. ***The 12-month core inflation grew as well, totaling 8.4%.***

Current developments in the external sector were presented. It was noted that under the impact of the Russian-Ukrainian conflict, sanctions applied to the Russian economy and the high uncertainty derived thereof, trends of economic slowdown continue in the main partner countries of Armenia. At the same time, as a result of the sustained disruptions of value chains, inflationary environment in international commodity markets, as well as partner countries, has been constantly expanding. Accordingly, the US Federal Reserve and the ECB plan to conduct a stricter monetary policy with a view to reverting inflation to the target level in the medium term and managing the risks of unanchoring inflationary expectations. In Russia, as a result of the RCB's sharp reaction and tightening of capital and monetary conditions at the initial stage of the escalation of the conflict, inflation and inflation expectations have significantly decreased, which allows the RCB to continue loosening monetary conditions, contributing to the smooth process of further structural transformations of the economy.

The Board reviewed developments of the RA economy and noted that in the second quarter of 2022, trends of extensive economic activity continue due to the high growth of services and construction. The growth of the service sector continues to be enhanced by the large-scale inflow of international visitors and financial resources to Armenia amid the on-going Russian-Ukrainian conflict. Within the structure of aggregate demand, acceleration of domestic demand is observed due to the recovery of the *deferred* private spending growth. Furthermore, it was noted that the assessment of fiscal policy impact on domestic demand in 2022, as outlined in the first quarter program of the monetary policy, has been still contractionary.

The developments of the RA financial market were discussed and it was noted that in the second quarter, short-term market interest rates were shaped around the policy rate. At the same time, due to the significant increase in the demand (external demand) for domestic services by international visitors and the large inflow of financial transfers from abroad, an appreciation of the dram in RA currency market has been observed. At the same time, in order to neutralize the short-term disruptions and problems observed in the currency market under such large-scale flows, the Central Bank conducted a small-scale situational intervention in the currency market, contributing to smooth operation of financial market.

Referring to the existing inflationary environment and inflationary expectations, the Board recorded that in the second quarter inflationary environment has expanded, in line with which inflationary expectations have accelerated to a certain extent. It continues to be fueled by the inflationary effects transferred to domestic prices through a number of imported products from international commodity markets as a result of disruptions in global value chains. Inflation is further driven by the positive developments in aggregate demand, especially in the services sector, however, it is estimated that the prices of some "*rigid*" services have already been significantly adjusted in the first quarter, hence the further price adjustment in that sector will be somewhat slower. On the other hand, it is expected that appreciation of the dram will gradually have a positive effect in terms of adjustment of external demand, mitigation of the domestic inflationary environment and subduing inflationary expectations.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. The Forecasting team presented to the Board a scenario of future macroeconomic developments and monetary policy tightening in the above-mentioned environment. Individual members of the Board agreed that inflationary factors and the emerging risks future prevail, therefore consistent tightening of monetary policy and raising policy rate was necessary. However, majority of the Board members were of the opinion that within the factors of current inflation the effects of global inflation and external demand prevail, which will moderate in the near future under the parallel appreciation of the Armenian dram, neutralizing the risks related to inflation and inflationary expectations. In view of these judgments and the fact that the previous tightening of the monetary terms by a relatively large step was a sufficient response for mitigating the highly inflationary environment, they deemed it feasible to refrain from changing the interest rate. Ultimately, ***the Central Bank Board decided to leave the refinancing rate unchanged by the majority of votes***. To this end, the Board emphasized its tenacity in ensuring stabilization of inflation with adequate actions and neutralizing any risk of unanchoring inflationary expectations. Under such policy measures, the 12-month inflation would gradually decrease, approaching the target of 4% in the forecast medium-term horizon.

The CBA Board further stated that the uncertainty related to the macroeconomic perspective due to geopolitical developments still persists. At the same time, there are risks of deviation of inflation from the forecast direction, which are mostly balanced. They mainly come down to the problems related to transportation of goods for export and import to Armenia by land route, global effects of disruptions in international value chains, as well as transmission channels of dram appreciation to inflation. In case of risk materialization in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

ON ESTABLISHMENT OF INTEREST RATES OF MONETARY POLICY INSTRUMENTS OF THE CENTRAL BANK OF ARMENIA AND PRESS RELEASE ON REFINANCING RATE

By virtue of Article 2(3), Article 20 “c” and “e” points of the law “On the Central Bank of the Republic of Armenia”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Central Bank of the Republic of Armenia, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 9.25%.

2. Set the Lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 10.75%.

3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 7.75%.

4. Approve the press release on the refinancing rate of the Central Bank of the Republic of Armenia (attached).

5. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank
June 14, 2022

PRES RELEASE
14.06.2022

At June 14, 2022 meeting, the CBA Board decided to leave the refinancing rate unchanged, at 9.25%.

In May 2022, 12-month inflation grew to 9.0%. Meanwhile, the 12-month core inflation grew as well, making 8.4%. The Russian-Ukrainian conflict continues to have a negative impact on the economic and financial market developments in Armenia's' main partner countries. Continuing disruption of the global value chains and the rise in prices in international commodity markets is leading to an expansion of global inflationary environment. Central banks of the advanced economies have been tightening monetary policy conditions at a relatively faster pace. As a result, inflationary impact on the Armenian economy from the external sector still persists.

In the second quarter of 2022, the Armenian economy stayed exceedingly active. Substantial influx of international visitors and the augmented domestic private spending have been contributing to the growth of the services sector and the aggregate demand. This resulted in an expansion of general inflationary environment and higher inflation expectations. The significant growth of services exports and financial inflows also contribute to the appreciation of the Armenian dram in foreign exchange markets. It is expected that in the near future the latter will have a positive impact on mitigation of the domestic inflationary environment.

In view of the above, the Board judges appropriate to leave the policy rate unchanged. The CBA Board will be committed to take adequate measures to control inflation and neutralize any risk of deanchoring of inflation expectations. In the medium term, the 12-month inflation is projected to gradually decline to a 4% target.

The CBA Board considers that as a result of the geopolitical developments, the uncertainty of macroeconomic perspective still persists. At the same time, the risks of inflation deviation from the projected trajectory are mostly balanced. Should the risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

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